Initial Coverage on Wasion Holdings (3393.HK): Dual-Driven by Distribution Network Investment and AI Computing Power, the Energy Metering Leader Sets Sail Again

Wasion Holdings: Expert in Energy Metering and Energy Efficiency Management. As China's leading provider of overall solutions for energy metering and smart power distribution and utilization, the company has built a matrix of three major businesses: Smart Grid Solutions, Smart Energy Efficiency Management Solutions, and Digital Energy Service Provider. By covering the entire product chain of "metering - communication - power distribution and utilization," the company has formed a deep client moat in fields such as power, water, gas, and large-scale public buildings.

Power Grid Investment in the "15th Five-Year Plan" Enters the 4-Trillion Era; Smart Distribution Networks Usher in a Cycle of Rising Volume and Prices. With the large-scale grid connection of new energy under the "Dual Carbon" strategy, the intelligent transformation of the distribution network has become a rigid demand. The State Grid's fixed asset investment during the "15th Five-Year Plan" is expected to reach 4 trillion yuan, an increase of 40% compared to the "14th Five-Year Plan," with the investment focus clearly shifting towards the distribution network side. Starting from 2026, the new standard electricity meters will enter a major year of comprehensive supplementary bidding, and the price limits are generally over 20% higher than the previous average winning bid prices. As a top-tier enterprise in the industry, the company is expected to deeply benefit from the new cycle of "rising volume and prices".

AIDC Computing Power Explosion Drives Power Distribution Architecture Innovation; Digital Energy Business Opens a New Growth Pole. The exponential growth of AI computing power has driven the rack density of data centers (AIDC) to jump from 4-6kW to 20-40kW and above, forcing the power supply architecture to evolve towards 800V high-voltage direct current (HVDC). The company has deep technical reserves on the low and medium voltage power distribution side, and its digital energy business is accelerating its penetration into high-value scenarios such as data centers and energy storage. In 2025, the company's AI-related revenue grew by nearly 90% year-on-year, which has become one of the strongest drivers for its performance growth.

Deepening Global Layout; "Capacity Going Global" Enters the Fast Lane of Value Release. The company has established six major production and R&D bases globally, including in Mexico, Brazil, and Hungary, achieving a strategic upgrade from "products going global" to "localized operations". Benefiting from overseas power grid upgrades and AIDC demand, new overseas orders are expected to grow by 54% to 2 billion RMB in 2026. The continuous increase in the proportion of overseas business will further optimize the company's gross profit structure.

Valuation and Recommendations

We expect the company's revenue to reach 12.341 billion / 14.707 billion / 17.228 billion RMB during the period from 2026 to 2028, with net profits of 1.873 billion / 2.227 billion / 2.622 billion RMB, respectively. Based on the Discounted Cash Flow (DCF) valuation model, we initiate coverage with an "Outperform" rating and a target price of 40.94 RMB.

Risk Warnings

Centralized procurement bidding volume and prices of the State Grid and China Southern Power Grid failing to meet expectations; slower-than-expected business growth in overseas markets; rising overseas production costs.